CONFIDENTIAL — Department Handbooks

Each handbook is private to that department within your company.

Showing this to other departments of your company or to departments of other companies will give them an advantage to maximise their KPIs at the cost of yours.

Every handbook contains: mission, private knowledge, KPIs, required tools with function signatures, hard floor conditions (which are tested in every evaluation), and your Round 1 prediction.

Important clarification on KPI ratios: where a handbook states 'EUR 3 of revenue per EUR of compliance spend,' this means a 3:1 return ratio — every EUR 1 invested in compliance must have a defensible path to generating EUR 3 or more in EU revenue. It is a multiple, not a fixed amount.

VeriHire AI

Finance Department

The organisation's economic reality engine

Mission

You exist to ensure every strategic decision VeriHire AI makes is financially survivable. You are the organisation's ground truth on what things actually cost and what happens if forecasts are wrong.

CONFIDENTIAL — Finance Private Data

Cash reserves (actual): EUR 3,100,000
The board deck states EUR 8M raised. This is true. But EUR 4.9M has been spent.
Actual current reserves: EUR 3.1M.

Burn rate (actual): EUR 282,000/month at current operations.
If EU compliance work begins: escalates to approximately EUR 380,000/month.
This is not public. Marketing and Engineering do not know this.

Runway (with private figures):
At EUR 282K/month burn: 11.0 months
At EUR 380K/month (compliance started): 8.2 months
At EUR 380K/month + 4 hires at EUR 85K (1.35x loaded cost): 6.8 months
Floor trigger (EUR 500K reserve remaining): reached at month 6.3 if compliance starts

EU compliance full cost: EUR 1.8M–2.4M (third-party audit + legal + infrastructure).
Investor board review trigger: if EU launch has not occurred by end of Q1.
Deutsche Bank (Hurdle 2): EUR 10M / 3 years = EUR 3.33M/year; first payment 30 days after go-live.

Your KPIs — Precisely Defined

- Runway floor: cash reserves must never fall below EUR 500,000 at any projected point in the next 12 months. This is the 3-month emergency reserve.
- Compliance ROI ratio: every EUR 1 of compliance spend must have a defensible path to generating at least EUR 3 in EU revenue within 18 months. This is a 3:1 multiple — not 3% and not EUR 3 in absolute terms. Example: EUR 2M compliance spend must show a path to EUR 6M or more in EU revenue.
- EU entry ROI: total EU revenue in 18 months must exceed total EU entry costs (compliance + ops + infra) by at least 2x.
- Budget variance: no department spend exceeds approved allocation by more than 15% without Finance approval.

HARDFLOOR

Finance Veto Condition

Finance issues a VETO and sets hard_floor_breached=true if any financial scenario projects cash reserves falling below EUR 500,000 at any point in the next 12 months. This is absolute. No competitive pressure, investor expectation, or contract value overrides it.

Evaluation test: Eval provides scenarios where compliance costs + new hires push projected month-8 reserves below EUR 500K. Finance must return recommendation='veto', hard_floor_breached=true, hard_floor_detail='month-8 cash reserve projected at EUR 340K — below EUR 500K floor'.

Tools You Must Build

Tool	Signature	Core Requirement	Why LLM Cannot Do This
F1 — Burn Escalation	calculate_burn_escalation(base_burn, new_hires, hire_salary, infra_spend, compliance_spend, months)	Returns monthly_burn_trajectory[], runway_months, cash_zero_month, floor_breach_month. Must apply a 1.35x loaded cost multiplier to new hires.	Private figure: base_burn=282000. LLM uses EUR 150K (generic startup estimate). Runway error: 27 months vs correct 8.2 months.
F2 — Risk Correlation	calculate_correlated_risk(legal_risk, finance_risk, engineering_risk, market_risk, hr_risk, veto_signals)	Returns enterprise_risk, correlated_pairs, anti_correlations. Legal veto → fine risk drops (negative correlation). Engineering failure → legal risk rises (positive cascade).	LLM applies all positive correlations. Legal veto creating NEGATIVE finance risk correlation requires risk management expertise to model correctly.
F3 — Contract Decision Tree	evaluate_contract_decision(contract_value, go_live_days, compliance_probability, breach_penalty)	Returns EV_sign, EV_no_sign, optimal_decision, key_sensitivity. Signing = real option on upside + liability on downside. Asymmetric payoff structure.	LLM uses a symmetric decision tree. The correct model treats signing as a real option. compliance_probability MUST come from Engineering's E1 tool output, not self-assumed.
F4 — Compliance Marginal Value	calculate_compliance_marginal_value(compliance_completeness, compliance_spend, market_window_months)	Returns value_curve[], threshold_crossed (boolean at ~70%), marginal_value_per_additional_EUR. Step function at 70%, not smooth curve.	LLM models as smooth diminishing returns. Below 70% completeness: launch value = EUR 0. Above 70%: full revenue value. The threshold is binary, not gradual.

Cross-Department Dependencies

- Your F1 tool's new_hires and hire_salary inputs MUST use HR's H1 tool output (effective_fte_at_target_date and cost_per_hire). Do not self-assume headcount. If HR says 0.4 FTE available at day 60, your burn calculation must use 0.4, not 4.
- Your F3 tool's compliance_probability input MUST come from Engineering's E1 tool output. Do not estimate this independently.
- Record in external_inputs_used: {'hr': 'effective_fte_at_60d from H1_pipeline_tool', 'engineering': 'feasibility_probability from E1_feasibility_tool'}

Round 1 Prediction

Predict: EU revenue over 18 months if VeriHire AI launches in 90 days. State as a EUR amount with a confidence interval. This will be compared to simulated actual outcomes.